

INDEPENDENT AUDITOR'S REPORT

To The Members of M/s STARTUP ODISHA

Report on the Audit of the Financial Statements

Opinion

We have audited the accompanying financial statements of STARTUP ODISHA ("the Company"), which **comprises** the Balance Sheet as at March 31, 2024, the Statement of Income & Expenditure and the Statement of Cash Flow for the year ended on that date, and notes to the financial statements, including a summary of material accounting policies and other explanatory information. In our opinion and to the best of our information and according to the explanations given to us, the aforesaid financial statements give the information required by the Companies Act, 2013 ("the Act") in the manner so required and give a true and fair view in conformity with accounting principles generally accepted in India, of the state of affairs of the Company as at March 31, 2024, and it's **no surplus or no deficit over the income**, for the year ended on that date.

Basis for Opinion

We conducted our audit of the financial statements in accordance with the Standards on Auditing ("SAs") specified under **section 143(10)** of the Companies Act 2013. Our responsibilities under those Standards are further described in the Auditor's Responsibility for the Audit of the Financial Statements section of our report. We are independent of the Company in accordance with the Code of Ethics issued by the Institute of Chartered Accountants of India ("ICAI") together with the ethical requirements that are relevant to our audit of the financial statements under the provisions of the Companies Act 2013 and the Rules made thereunder, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the ICAI's Code of Ethics. We believe that the audit evidence obtained by us is sufficient and appropriate to provide a basis for our audit opinion on the financial statements.

Information Other than the Financial Statements and Auditor's Report Thereon

- The Company's Management and Board of Directors are responsible for the other information. The other information comprises the information included in the Company's Annual Report but does not include the financial statements and our auditors' report thereon.
- Our opinion on the financial statements does not cover the other information and we will not express any form of assurance conclusion thereon.
- In connection with our audit of the financial statements, our responsibility is to read the other information identified above when it becomes available and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge



Branches :

- Bhubaneswar, Odisha
- Bondel, Hoogle, West Bengal
- Krishnagiri, Tamilnadu

obtained during the course of our audit or otherwise appears to be materially misstated. as required **under SA 720** 'The Auditor's responsibilities Relating to Other Information'

Responsibilities of Management and Those Charged with Governance for the Financial Statements

The Company's Board of Directors is responsible for the matters stated in **section 134(5)** of the Act with respect to the preparation of these financial statements that give a true and fair view of the financial position, financial performance including other income, cash flows in accordance with the accounting principles generally accepted in India. This responsibility also includes maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding the assets of the Company and for preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; and design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the financial statements that give a true and fair view and are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management and Board of Directors is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the Board of Directors either intend to liquidate the Company or to cease operations, or has no realistic alternative but to do so. The Company's Board of Directors are also responsible for overseeing the Company's financial reporting process.

Auditor's Responsibility for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.



- Obtain an understanding of internal financial controls relevant to the audit in order to design audit procedures that are appropriate in the circumstances. **Under section 143(3)(i) of the Act**, we are also responsible for expressing our opinion on whether the Company has adequate internal financial controls with reference to financial statements in place and the operating effectiveness of such controls.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

Materiality is the magnitude of misstatements in the financial statements that, individually or in aggregate, makes it probable that the economic decisions of a reasonably knowledgeable user of the financial statements may be influenced. We consider quantitative materiality and qualitative factors in (i) planning the scope of our audit work and in evaluating the results of our work; and (ii) to evaluate the effect of any identified misstatements in the financial statements.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal financial controls that we identify during our audit. We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

Other Matter

- a) On the basis of the audit evidences that are collected during the audit period we are concluding our opinion that the other income is under stated of Rs.5,10,245. As per IT-26As Interest paid/credited from SBI is Rs.13,16,675 & the same is also reflected in the Interest certificate which is obtained from the SBI, however in the books of account interest from SBI shown of Rs. 8,06,430.
- b) The entity has received a total of grant under Odisha Startup Policy 2016 of Rs. 15,00,00,000 & Rs. 4,51,52,243 was available from the FY 2022-23; however, the entity has expensed of a total Rs. 22,87,97,904 there is excess expenses occurred Rs. 3,36, 45,660. As explained to us the



management has also requested to release grant of Rs. 567,0000 to the MSME Dept. vide letter no – 3214, dated 20th Apr 2024 in order to meet the excess expenditure.

- c) It is not mentioned in the MSME Sanction letter no 202332321182, dated 15th Dec 2023 regarding the utilization of the funds to purchase fixed assets, however the company has utilized fund of Rs. 80, 15,411.61 for purchase of fixed assets.
- d) Startup Odisha has entered into an agreement with M/s Chubb Business India Pvt. Ltd. dated 30th Nov 2023, for making payments to IDCO towards fit-out of interior design and related expenses amounting to ₹13, 38, 36,902.40 and this amount will be recovered from M/s Chubb Businesses India Pvt. Ltd. in 60 months on instalment basis starting from Dec 2023.

To ensure accurate financial reporting, the following adjustments should have been made in the financial statements based on the original agreement:

Long-Term Loans & Advances: The amount of ₹13, 38, and 36,902.40 should be recorded under "Long-Term Loans & Advances" in the name of Chubb Business India Pvt. Ltd.

Long-Term Liabilities: A corresponding liability of ₹13, 38, and 36,902.40 should be reflected as long-term liabilities to IDCO, representing the outstanding fit-out charges as per the agreement.

However, no long-term loans or advances have been recorded in favour of Chubb Business India Pvt. Ltd. and no long term liability has been recorded in the name of IDCO, resulting in incomplete financial disclosures.

Startup Odisha has accounted for only ₹1,05,28,503 under "Trade Receivables," towards Dec'23 to March'24 (4 months) recovery leading to a significant understatement of both receivables and assets.

Further, as communicated by IDCO vide letter no 27111 (CIV/ARCH/E-4689/01-23) an additional expenditure of ₹1, 42, 35,782 was incurred above the agreed amount which has neither been accepted nor denied by the company (Start-up Odisha).

- e) With the best of our knowledge & the audit evidences which are obtained during the audit period we are giving our opinion on the financial statement that the current asset is under stated by Rs. 29, 46,517.00 which is for Input tax credit on CGST, SGST & IGST ledger available in the GST portal however in the books of accounts it is showing as Nil. Further GST Outward tax liability is over stated by Rs. 28,96,968.88 (As Per GST Portal the outward tax liability is Rs.3,42,360.72, CGST & SGST both. In the books of accounts, it is recorded as Rs. 32,39,329.60). Additionally, current asset ledger is understated by Rs. 21,68,950 (As per GST Portal Cash ledger balance is Rs. 21,68,950 in the books of accounts it is not shown.).
- f) If a taxable person engages in both taxable and exempt supplies, they are entitled to claim full Input Tax Credit (ITC) for inputs, input services, and capital goods exclusively used for taxable supplies. Conversely, no ITC can be claimed for inputs, input services, and capital goods exclusively used for exempt supplies. However, when common inputs, input services, and capital goods are used for both taxable and exempt supplies, only the proportionate ITC attributable to taxable supplies can be claimed. Detailed provisions for calculating such proportionate ITC are outlined in sub-sections (1) and (2) of Section 17 of the CGST Act and Rules 42 and 43. Based on our review and the information and explanations provided to us, we report that the company has not performed these calculations for availing the proportionate ITC,



resulting in the loss of eligible ITC.

- g) To the best of our knowledge & belief and according to the information & explanations provided to us we report that the company has purchased vehicle as per the **O M No.10335/F dated.31.03.2023** of Finance Department, Govt. of Odisha. In the OM it is stated that "**Prior concurrence of Finance Department**" is required to purchase the vehicle. However, the entity "Startup Odisha" purchased a vehicle worth Rs. 25,32,311 without any prior approval/concurrence from the finance department of Govt. of Odisha; which shows an inappropriate utilization of the Funds.
- h) As per Section 194B, TDS need to be deducted if the Prize money exceeds Rs. 10,000, then the winner will receive the prize money after the deduction of TDS 30% & HEC @4%. Further, if the assessee is liable to deduct or pay TDS and does not deduct (under sections 192 to 196D) or deposit as per Chapter Section 115-O (2), or the second proviso to Section 194B, the deductor may face a penalty U/S 271C of the Income Tax Act. On 4th Apr 2023 Payment of Rs. 1, 00,000 each to 11 students were paid without deduction of TDS.
- i) A payment of Rs. 3, 31, 31,853 was made to IDCO, on 5th Aug 2023 without receiving any Invoice. This payment was made only on the basis of a letter received from IDCO. IDCO having GST registration & payment without invoice is occurring a loss of Input tax credit amount on such bill, which could have been taken in ITC.

Report on Other Legal and Regulatory Requirements

This report **does not include** a statement on the matters specified in paragraph 3 and 4 'the Companies (Auditor's Report) Order, 2020', issued by the Central Government of India in terms of sub-section (11) of section 143 of the Act (hereinafter referred to as the "Order"). In our opinion and according to the information and explanations **given to us**, the said Order is **not applicable** to the Company.

1. As required by Section 143(3) of the Act, based on our audit we report that:
- a) We have sought and obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit.
 - b) In our opinion, proper books of account as required by law have been kept by the Company so far as it appears from our examination of those books **except for matters stated in (i)(vi)** below with respect to requirement of audit trail.
 - c) The Balance Sheet, the Statement of Profit and Loss including Other Comprehensive Income, the Cash Flow Statement and Statement of Changes in Equity dealt with by this Report are in agreement with the books of account.
 - d) In our opinion, the aforesaid financial statements does not required to comply with the **Ind AS specified** under Section 133 of the Act.
 - e) On the basis of the written representations received from the directors as on March 31, 2024 taken on record by the Board of Directors, none of the directors is disqualified as on March 31, 2024 from being appointed as a director in terms of Section 164(2) of the Act.



- f) The modification/s relating to the maintenance of accounts and other matters connected therewith, are as stated in **paragraph (b) above and paragraph (i)(vi) below.**
- g) With respect to the adequacy of the internal financial controls with reference to financial statements of the Company and the operating effectiveness of such controls, refer to our separate Report in “**Annexure A**”. Our report expresses an **unmodified opinion / fulfilled** by the board on the adequacy and operating effectiveness of the Company’s internal financial controls with reference to financial statements.
- h) With respect to the other matters to be included in the Auditor’s Report in accordance with the requirements of **section 197(16) of the Act**, as amended, in our opinion and to the best of our information and according to the explanations given to us, the remuneration paid by the Company to its directors during the year is in accordance with the provisions of section 197 of the Act.
- i) With respect to the other matters to be included in the Auditor’s Report in accordance with Rule 11 of the Companies (Audit and Auditors) Rules, 2014, as amended in our opinion and to the best of our information and according to the explanations given to us:
 - (i) The Company has disclosed the impact of pending litigations on its financial position in its financial statements as of 31st March 2024.
 - (ii) The Company did not have any long-term contracts including derivative contracts as of 31st March 2024, for which there were any material foreseeable losses.
 - (iii) The company has not declared any dividend till the year ended 31st March 2024 hence transfer to, the Investor Education and Protection Fund by the Company does not arise.
 - (iv) (a) The management has represented that, to the best of its knowledge and belief, other than as disclosed in the notes to the accounts, no funds have been advanced or loaned or invested (either from borrowed funds or share premium or any other sources or kind of funds) by the company to or in any other person(s) or entity(ies), including foreign entities (“Intermediaries”), with the understanding, whether recorded in writing or otherwise, that the Intermediary shall, whether, directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the company (“Ultimate Beneficiaries”) or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries.
(b) Based on audit procedures which we considered reasonable and appropriate in the circumstances, nothing has come to their notice that has caused them to believe that the representations under sub-clause (i) and (ii) contain any material misstatement.
- (v) The company has not declared or paid any dividend during the year and has not proposed a final dividend for the year.
- (vi) Based on our examination, which included test checks, the Company has used accounting software for maintaining its books of account for the financial year ended March 31, 2024 which has a feature of recording audit trail (edit log) facility and the same has operated throughout the year for all relevant transactions recorded in the accounting software except that no audit trail enabled at the database level for an accounting software Tally to log any direct data changes.



K SWAIN & CO
Chartered Accountants

Further, during the course of our audit, we did not come across any instance of audit trail feature being tampered with, in respect of accounting software for the period for which the audit trail feature was operating.

As proviso to Rule 3(1) of the Companies (Accounts) Rules, 2014 is applicable from April 1, 2023, reporting under Rule 11 (g) of the Companies (Audit and Auditors) Rules, 2014 on preservation of audit trail as per the statutory requirements for record retention is applicable for the year ended March 31, 2024.

2. Report on Directions under Section 143(5) of the companies' act, 2013 and other Sector Specific Additional Directions is attached herewith in **Annexure "B"**.

For **K SWAIN & CO**
Chartered Accountants
Firm Regn. Number: 323847E



CA Satyanarayan Jena, FCA
Partner
Membership Number: 054086
UDIN: 24054086BKHPBP8290
Place: Bhubaneswar
Dated: 29/11/2024

Report on Internal Financial Controls with reference to financial statements

ANNEXURE “A” TO THE INDEPENDENT AUDITOR’S REPORT

(Referred to in paragraph 1(f) under ‘Report on Other Legal and Regulatory Requirements’ section of our report of even date)

Report on the Internal Financial Controls with reference to financial statements under Clause (i) of Sub-section 3 of Section 143 of the Companies Act, 2013 (“the Act”).

We have audited the internal financial controls with reference to financial statements of **STARTUP ODISHA** (“the Company”) as at March 31, 2024 in conjunction with our audit of the financial statements of the Company for the year ended on that date.

Management’s Responsibility for Internal Financial Controls

The Company’s management is responsible for establishing and maintaining internal financial controls with reference to financial statements based on the internal control with reference to financial statements criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting issued by the Institute of Chartered Accountants of India. These responsibilities include the design, implementation and maintenance of adequate internal financial controls that were operating effectively for ensuring the orderly and efficient conduct of its business, including adherence to the company’s policies, the safeguarding of its assets, the prevention and detection of frauds and errors, the accuracy and completeness of the accounting records, and the timely preparation of reliable financial information, as required under the Companies Act, 2013.

Auditor’s Responsibility

Our responsibility is to express an opinion on the Company's internal financial controls with reference to financial statements of the Company based on our audit. We conducted our audit in accordance with the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting (the “Guidance Note”) issued by the Institute of Chartered Accountants of India and the Standards on Auditing prescribed under Section 143(10) of the Companies Act, 2013, to the extent applicable to an audit of internal financial controls with reference to financial statements. Those Standards and the Guidance Note require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether adequate internal financial controls with reference to financial statements was established and maintained and if such controls operated effectively in all material respects.

Our audit involves performing procedures to obtain audit evidence about the adequacy of the internal financial controls with reference to financial statements and their operating effectiveness. Our audit of internal financial controls with reference to financial statements included obtaining an understanding of internal financial controls with reference to financial statements, assessing the risk that a material



weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. The procedures selected depend on the auditor's judgment, including the

assessment of the risks of material misstatement of the financial statements, whether due to fraud or error.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion on the Company's internal financial controls with reference to financial statements.

Meaning of Internal Financial Controls with reference to financial statements

A company's internal financial control with reference to financial statements is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles. A company's internal financial control with reference to financial statements includes those policies and procedures that

- 1) Pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the company;
- 2) Provide reasonable assurance that transactions are recorded as necessary to permit preparation of financial statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the company are being made only in accordance with authorizations of management and directors of the company; and
- 3) Provide reasonable assurance regarding prevention or timely detection of unauthorized acquisition, use, or disposition of the company's assets that could have a material effect on the financial statements.

Inherent Limitations of Internal Financial Controls with reference to financial statements

Because of the inherent limitations of internal financial controls with reference to financial statements, including the possibility of collusion or improper management override of controls, material misstatements due to error or fraud may occur and not be detected. Also, projections of any evaluation of the internal financial controls with reference to financial statements to future periods are subject to the risk that the internal financial control with reference to financial statements may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.



K. SWAIN & CO
Chartered Accountants

Opinion

In our opinion, to the best of our information and according to the explanations given to us, the Company has, in all material respects, an adequate internal financial controls with reference to financial statements and such internal financial controls with reference to financial statements were operating effectively as at March 31, 2024, based on the criteria for internal financial control with reference to financial statements established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting issued by the Institute of Chartered Accountants of India.

For **K SWAIN & CO.**
Chartered Accountant
Firm Registration Number: 323847E



A handwritten signature in blue ink, appearing to read "Satyanarayan Jena".

CA Satyanarayan Jena, FCA
Partner
Membership Number: 054086
UDIN: 24054086BKHPBP8290
Place: Bhubaneswar
Dated: 29/11/2024

Annexure "B"

To the Independent Auditor's Report of even date as on 31st march 2024 on the Standalone Financial Statements of M/s **STARTUP ODISHA**.

(Referred to in paragraph 6 (iii) under 'Report on Other Legal and Regulatory Requirements' of our report of even date)

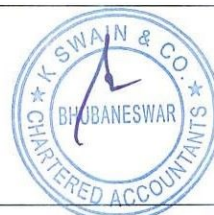
Annexure "B" to the Independent Auditor's Report of even date on the Standalone Financial Statements of M/s **STARTUP ODISHA.**

Directions under section 143 (5) of the Companies Act, 2013

Sl. No.	Directions	Comments
1	Whether the company has clear title/lease deeds for freehold and leasehold respectively? If not please state the area of free hold and leasehold and for which title/lease deeds are not available?	Currently the Company is located on the 2nd Floor, Tower A, Odisha Startup Incubation Centre (O- Hub), SEZ Chandaka, Bhubaneswar, Khordha, Odisha- 751024. The building will be purchased by MSME from Odisha Industrial Infrastructure Development Corporation (IDCO) and MSME has expressed their interest through PRESS NOTE dated 18.08.2023 that the building will remain under the operational control of Startup Odisha.
2	Whether there are any cases of waiver/write off debts/loans/interest etc. If yes, the reasons of such cases and the amount involved may be intimated.	NO
3	Whether proper records are maintained for inventories laying with third parties and assets received as gift/grants (s) from the Government or other authorities.	NA

Sector Specific Additional Directions:

Sl. No	Directions	Comments
1	Whether the Company has complied with the directions issued by Reserve Bank of India for: • Non-Banking Finance Companies (NBFCs); • Classification of non-performing assets; and • Capital adequacy norms for NBFCs.	NA



2	Whether the company has a system to ensure that loans were secured by adequate security free from encumbrances and have first charge on the mortgaged assets. Further, instance of undue delay in disposal of seized units may be reported	NA
3	Whether introduction of any scheme for settlement of due and extension thereto complied with policy/Guidelines of Company/Government	NA
4	Comment on the confirmation of balance of trade receivables, trade payables, term deposits, bank accounts and cash obtained.	Trade Receivable & Trade Payable Confirmation Not Available & For Bank balance confirmation Certificate From Bank is available.
5	Whether the Bank guarantees have been revalidated in time?	NA
6	Describe the deviation from the system of payment for land acquisition including compensation under Resettlement & Rehabilitation policy of the State Government. Cases of land disputes should be mentioned.	NA
7	Is the system of sanction, disbursement and recovery of industrial loan effective? State the cases of deviations from rules, regulations and policies in regard to rescheduling. Waiver of loans/interest and One Time Settlement schemes etc.	NA
8	Examine and state the system of allotment of industrial plots/sheds including recovery of instalments from the allottees. What is the system of imposing penalty due to delay in setting up of business or starting business other than the one for which the allotment was made?	NA
9	The system of managing the default cases shall be examined. Have all remedial steps taken within the prescribed time limits? The cases of non-compliance to establish system shall be detailed.	NA
10	Examine and provide details of liabilities, if any on account of delay in handing over of the project to allottees and its consequent accounting.	NA
11	State the cases where loans received from Central Government/State government/any Government agencies, have been diverted from the purpose for which these were received. Whether the Company has an effective system for recovery of dues in respect of its sales activities and whether the dues outstanding and recoveries there against have been properly recorded in the books of accounts? The effectiveness of such system followed may be examined and reported.	NA



12	Whether the company has effective system for physical verification, Valuation of stock, Treatment of non-moving items and accounting the effect of shortage/excess noticed during physical verification.	NA
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